

FCF Securities and Derivatives LLC

(d/b/a FOG Equities LLC)

425 S. Financial Place, Ste. 1575, Chicago, IL 60605

CRD# 157067 | SEC# 8-68831

Re: File No. S7-2026-20; Release No. 34-105655

Proposed Rescission of Rules 611 and 610(e) of Regulation NMS

June 15, 2026

Secretary

Securities and Exchange Commission

100 F Street, NE

Washington, DC 20549-1090

Re: Proposed Rescission of Rules 611 and 610(e) of Regulation NMS and Related Amendments (Release No. 34-105655; File No. S7-2026-20)

Dear Secretary:

FCF Securities and Derivatives LLC, doing business as FOG Equities LLC (“FOG Equities” or the “Firm”), submits this comment letter in response to the Securities and Exchange Commission’s (the “Commission”) proposed rescission of Rules 611 and 610(e) of Regulation NMS and related amendments, as set forth in Release No. 34-105655 (the “Proposal”). FOG Equities supports the Commission’s goal of modernizing equity market structure and agrees that rescinding the trade-through prohibition of Rule 611 has merit given the evolution of today’s highly competitive, interconnected, and automated markets.

However, FOG Equities writes to flag a consequence of the Proposal that the Commission has not addressed and that, in the Firm’s view, poses a serious risk to the listed options market: the elimination of the Qualified Contingent Trade (“QCT”) exemption — granted by Commission order in 2006 (Release No. 34-54389) pursuant to Rule 611(d) — without providing a clear replacement safe harbor for the stock leg of complex listed options orders. The stock leg is not an ancillary detail of these transactions; it is the hedge that makes options market makers willing to quote complex, multi-leg strategies in size. Introducing legal uncertainty into the execution of that hedge would, FOG Equities submits, degrade liquidity in the options market, widen spreads, and impair the ability of investors to execute and hedge complex options strategies — the very harms the Commission sought to avoid when it granted the QCT exemption. We therefore respectfully urge the Commission to issue a no-action letter or adopt a new safe harbor that preserves the regulatory clarity currently afforded by the QCT exemption before Rule 611 is rescinded.

I. Background on FOG Equities and Its Role in the Listed Options Market

FOG Equities is a registered broker-dealer (CRD# 157067; SEC# 8-68831) and a member of FINRA, Cboe BZX Exchange, Inc., NYSE Texas, Inc., and The Nasdaq Stock Market. The Firm specializes in facilitating the reporting, clearing, and allocation of the stock leg of complex listed options orders — commonly known as “stock-option” or contingent trades — on behalf of options brokers whose customers submit multi-leg orders with a cash equity component.

The value FOG Equities provides is not merely regulatory: the Firm has built operational infrastructure — including trade reporting, clearing, and counterparty allocation systems — that options brokers rely upon to handle the equity leg of complex orders efficiently and compliantly. Options brokers route these transactions to FOG Equities precisely because the operational complexity of tying a stock execution to a multi-leg options trade is substantial, and because the QCT exemption provides a clear, defined safe harbor permitting the stock leg to trade outside the National Best Bid and Offer (“NBBO”).

II. The Proposal Creates a Regulatory Vacuum for Tied Stock-Option Transactions

The QCT exemption, set forth in the Commission’s 2006 exemptive order (Release No. 34-54389) issued under Rule 611(d), currently provides a bright-line safe harbor for the NMS stock component of a derivative-tied contingent trade. This exemption is essential because, by the nature of a contingent trade, the relationship between the component prices — the spread or ratio — is fixed at the time the order is placed and stands regardless of the prevailing price at the moment of execution. As a result, the price of the stock component may not correspond to the prevailing NBBO. The QCT exemption reflects the Commission’s longstanding recognition that such transactions serve a legitimate economic purpose and should not be treated as impermissible trade-throughs.

The Proposal rescinds Rule 611 in its entirety, and with it, the foundation of the QCT exemption. While the trade-through prohibition disappears alongside the exemption, the Commission has not addressed what standard will govern these transactions going forward. The Proposal states only that the duty of best execution is “independent from the requirements under Rule 611” and will continue to apply. FOG Equities is concerned that this creates a material regulatory vacuum:

- Under Rule 611, the QCT exemption provided a defined, predictable safe harbor. Market participants knew with certainty that a stock leg priced outside the NBBO as part of a contingent options order was permissible, provided the conditions of the exemption were met.
- After rescission, the governing standard becomes the best execution duty — a principles-based, facts-and-circumstances standard that provides no bright lines. FINRA Rule 5310 requires member firms to use “reasonable diligence” to ascertain the best market and execute at a price “as favorable as possible under prevailing market conditions.” Applied to contingent stock-option transactions, this standard is fundamentally ambiguous: it is unclear whether “prevailing

market conditions” incorporates the predetermined economics of the options leg, and whether pricing the stock component outside the NBBO to facilitate a complex options transaction satisfies the reasonable diligence standard.

- This ambiguity could expose options brokers and their customers to regulatory risk that did not previously exist, chilling participation in the complex options market and harming the very market participants the Commission’s broader market structure agenda aims to serve.

Notably, the Proposal does not acknowledge this gap, does not request comment on it, and does not propose any transitional relief or replacement framework for tied stock-option transactions. This silence is itself a concern: it suggests that the Commission may not have fully considered the downstream consequences of Rule 611’s rescission for the complex options market.

III. The Resulting Uncertainty Threatens Liquidity and Hedging Capacity in the Listed Options Market

At the outset, FOG Equities respectfully directs the Commission to its own findings when it granted the QCT exemption in 2006. In Release No. 34-54389, the Commission expressly recognized that contingent trades “contribute to the efficient functioning of the securities markets and the price discovery process,” and determined that qualified contingent trades “could become too risky and costly to be employed successfully” if their stock leg were required to meet the trade-through provisions of Rule 611. The Commission specifically identified the hedging mechanism at the heart of these trades: it found that the difficulty of maintaining a hedge, and the risk of falling “out of hedge,” could dissuade participants from engaging in contingent trades or raise their cost, and that the resulting reduction in this trading strategy “potentially could remove liquidity from the market.” On that basis, the Commission concluded that the exemption was “necessary and appropriate in the public interest, and ... consistent with the protection of investors.” Those findings remain as true today as they were in 2006.

FOG Equities’ principal concern is therefore not the regulatory exposure of any single firm, but the impact on the listed options market as a whole — the same market-wide concern that animated the Commission’s 2006 order. The stock leg of a complex options order is, in economic substance, the hedge that allows options market makers and liquidity providers to quote multi-leg strategies confidently and in size. When a market maker quotes a complex options strategy — a spread, a combination, a collar, or a delta-hedged position — it relies on the ability to execute a corresponding equity hedge promptly and at a predictable price. The QCT exemption has, for nearly two decades, provided the regulatory certainty that makes this hedging mechanism dependable.

Removing that certainty without a replacement does not merely create a compliance question — it disrupts the economics of options liquidity provision through a foreseeable chain of consequences:

- First, the hedge becomes legally uncertain. Without a defined safe harbor, an equity hedge priced outside the prevailing NBBO to facilitate a complex options trade can no longer be relied upon as presumptively permissible. Each such execution becomes subject to after-the-fact, facts-and-circumstances best execution scrutiny.
- Second, liquidity providers price that uncertainty into their quotes. A market maker that cannot rely on executing its hedge cleanly must either widen its options quotes to compensate for the added execution and regulatory risk, reduce the size it is willing to quote, or decline to quote certain complex series altogether. The cost of regulatory ambiguity is ultimately borne by investors in the form of worse pricing.
- Third, investors lose hedging capacity. The investors who rely most heavily on complex, stock-tied options strategies — institutions managing risk, pension funds hedging equity exposure, and sophisticated investors constructing tailored risk profiles — are precisely those who depend on deep, tightly quoted complex options markets. As liquidity in these strategies thins, the ability to efficiently construct and unwind hedges deteriorates, raising the cost of risk management across the market.

This is not speculation; it is the precise sequence the Commission itself foresaw in 2006, when it warned that breaking up the components of a contingent trade could leave parties “out of hedge,” that dealers might be unable to commit capital to customers who requested it, and that such a result “would disadvantage the market as a whole.” The only thing that has changed is the regulatory vehicle: the harm the Commission guarded against by granting the exemption would now be reintroduced by rescinding the rule on which the exemption rests, without putting anything in its place.

This chain of effects runs directly contrary to the Commission’s stated objective for the Proposal. The Proposal is intended to reduce costs and enhance competition and market quality. Yet by inadvertently undermining the hedging mechanism that underpins options liquidity, the rescission of Rule 611 — absent a replacement safe harbor — risks producing the opposite result in the options market: wider spreads, reduced depth, and diminished hedging capacity. A reform designed to improve equity market quality should not be permitted to degrade options market quality as an unintended byproduct.

FOG Equities further notes that these effects are difficult to reverse once they materialize. Liquidity provision in complex options series depends on market maker confidence built over many years of stable regulatory treatment. If that confidence is disrupted and liquidity providers withdraw, restoring it after the fact — even through subsequent corrective guidance — may prove slow and incomplete. This counsels strongly in favor of addressing the safe harbor question before, rather than after, Rule 611 is rescinded.

IV. The Commission Should Issue a No-Action Letter or Safe Harbor for QCT-Type Transactions

FOG Equities respectfully requests that the Commission take one or more of the following actions prior to or concurrent with finalizing the Proposal:

1. Issue a no-action letter confirming that broker-dealers who report the stock leg of a complex listed options order outside the NBBO, pursuant to the predetermined economics of the contingent transaction, will not be deemed to have violated their best execution obligations under FINRA Rule 5310 or applicable Commission rules, provided the overall transaction meets conditions substantially equivalent to the seven elements of a qualified contingent trade set forth in Release No. 34-54389.
2. Alternatively, adopt a new standalone safe harbor — whether by rule or interpretive guidance — that provides the same bright-line certainty as the QCT exemption for tied stock-option transactions, independent of Rule 611's existence. Because the existing exemption was itself issued by Commission order, the Commission has a ready and well-precedented mechanism to preserve its substance.
3. At minimum, explicitly request comment on this issue in any reproposing release, and coordinate with FINRA to issue guidance on how Rule 5310 applies to the stock leg of contingent options transactions.

V. The Options Market Is Distinct and Warrants Separate Consideration

The Commission itself acknowledges in the Proposal that the options markets are materially different from the equities markets — there is no off-exchange trading in listed options, options are more commonly quote-driven versus order-driven, and there are far more listed options than listed equities. The Commission has initiated a separate options market structure review, including a roundtable held on April 16, 2026.

FOG Equities commends the Commission for recognizing the need for a separate review of the options markets. However, the rescission of Rule 611 has immediate and direct consequences for the stock leg of listed options orders that cannot wait for the outcome of that separate review. The Commission should address the QCT gap now, before finalizing the Proposal, rather than leaving market participants without regulatory clarity during an indeterminate transition period.

VI. Conclusion

FOG Equities supports the Commission's efforts to modernize equity market structure and does not oppose the rescission of Rule 611 in principle. However, the elimination of the QCT exemption without a replacement safe harbor introduces legal uncertainty into the hedging mechanism that underpins liquidity in the listed options market. The foreseeable result — wider spreads, reduced depth in complex options series, and diminished hedging capacity for the investors who rely on these strategies — would undermine the very market quality the Commission's broader agenda seeks to advance, and would reintroduce the precise harms the Commission identified and guarded against when it granted the QCT exemption in 2006.

We respectfully urge the Commission to issue a no-action letter or adopt a new safe harbor for QCT-type transactions concurrent with or prior to finalizing the Proposal. FOG Equities would welcome the opportunity to discuss these issues with Commission staff at their convenience.

Respectfully submitted,

FCF Securities and Derivatives LLC
(d/b/a FOG Equities LLC)

Bernard McDevitt
Chief Executive Officer
FCF Securities and Derivatives LLC (d/b/a FOG Equities LLC)
425 S. Financial Place, Ste. 1575, Chicago, IL 60605
312-663-2938